

and about 60 per cent of the total population is dependent on agriculture and the share of agriculture is shrinking, it is not possible to lessen the inequalities between those dependent on agriculture and those dependent on non-agriculture for their incomes.

India's economy is dominated by services—55 per cent of our GDP is the services sector, 18 per cent is accounted for by agriculture. The remaining about 27 per cent is accounted for by the industry, in which manufacturing is a dominant component. Today, when we are making a conscious effort to expand manufacturing, we find that technology and labour productivity is constraining the growth of jobs. That is something which we have to accept as a given. We will have to find jobs elsewhere in sectors like mining, services. There is also the problem of inter-regional and inter-state inequalities. Historically, states which are landlocked tend to be inward, conservative and, therefore, lack entrepreneurs. However, another kind of entrepreneurship has flourished in these states—political entrepreneurship. Consequently, governance has suffered. Regional inequalities are clearly related to the quality of governance. It is superior in faster growing states and I can see winds of change elsewhere too. Ultimately, it is the people who must take the responsibility for putting in place good governance. I some-



With session chairperson Shankar Acharya

times wonder why people repeatedly elect leaders who have been found to be wanting, inefficient, inept and corrupt. One of the questions raised was the states' role in moderating inequalities. If the state carefully uses its resources, human and financial, in these areas, the intervention is likely to yield results. But in the name of intervention, if the state intervenes in what is otherwise pure commercial activity, I am afraid that that kind of intervention is not going to reduce inequalities.

We distribute vast quantities of foodgrain through our public distribution system, the finding is 36 per cent of the foodgrain do not reach the poor. We have laid out the largest guaranteed wage employment programme as a safety net for the poor. The finding is that the unwillingness to use technology to monitor these programmes means that there are pockets in India where this programme is not reaching the very poor. We have the largest school lunch programme in the world—130 million children eat a school lunch—where the quality of the food and the quantity of the food in many places leave much to be desired. You and I must elect and reward good governance and, this is important, punish bad governance. We know the pre-conditions for inclusive growth. We have to focus on these pre-conditions and ensure that these pre-conditions are met.

DISCUSSION

Q. We need to create true fiscal and monetary federalism in this country. Do you have any ideas in this direction?

Chidambaram: There are one thousand schemes and programmes which are funded by the Centre. It has come as a big revelation. We are now putting in place a Central plan schemes monitoring system to track the money that we spend on these schemes. In the first place, we should not have one thousand schemes. We should converge many of them and hand them over to state governments. Thanks to the last Finance Commission chaired by Dr. Rangarajan, some measure of fiscal discipline has been imposed upon the state governments. Many of them are willing to accept the fiscal discipline.

Q. The fundamental problem is that you have 60 per cent of the

people dependent on agricultural income, which is 18 per cent of the GDP, and how do you get them into manufacturing? So I was a little concerned when you said that, "Oh! Look we cannot do much about manufacturing because of capital productivity and labour productivity and let's look at mining and services and so forth." I think you are running away from the fundamental problem. You have to somehow encourage manufacturing, look at redefining your labour laws, see how you can actually make people productive in manufacturing. It seems that the Government has given up the fight or am I wrong?

Chidambaram: I did not say we shouldn't encourage manufacturing, all I said was we can't expect manufacturing job growth to correspond to manufacturing growth. Even if man-

ufacturing grows at 10 per cent, jobs in manufacturing will not grow by 10 per cent because of labour productivity and capital productivity and technology. Some jobs will come in manufacturing but you cannot expect all the jobs to be created in manufacturing. There is a greater opportunity for more jobs to be created in the services sector, in transportation, in tourism, in retail, in wholesale. We must adopt policies that will encourage manufacturing sector to grow at 10 per cent. We must also encourage sectors which are more job creating.

Q. When did you have a sense of a greater calling that you would be involved in politics or did you stumble on it? What triggers that switch in somebody's brain that I am going to lead as opposed to follow?

Chidambaram: Madness. I suppose, the moment of madness.

They tried to make a capitalist out of me in Harvard University, but they failed. I returned as a socialist. I returned to practice law and work in the trade union movement but over a period of time, I discovered that while socialist objectives are good, its methods are not so good.

Q. You have written off loans of farmers and directed banks to not recover the loans. It could lead to a twisted psychology of people believing that the government will waive loans.

Chidambaram: Farmers are honest people. Most of them repay their loans year after year. Farming is perhaps the most precarious economic activity in this country. Therefore, we should not look upon debt forgiveness in that manner.

Full speech and debate at:

<http://www.indiatodayconclave.com>

